

Financing the Air We Breathe: Climate vs. Non-Climate Aid and Local CO₂ Emissions

Evidence from Global ADM2 Data

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Abstract

This paper asks whether climate aid decarbonizes where it lands, and how its effects compare to otherwise similar development finance. I assemble a global ADM2-year panel (2000–2022) linking geocoded projects to EDGAR CO₂ and estimate dynamic effects with a staggered DiD that uses not-yet-treated controls, complemented by a post-treatment dose–response design. Two results emerge. First, climate portfolios lead to at most zero and on average modest declines in local log-CO₂, which grow more negative as cumulative climate exposure increases. Second, non-climate aid raises local emissions in the medium run, consistent with development-driven scale effects. Identification is supported by flat pre-trends, placebo event-times, and robustness to excluding China. To probe mechanisms, I use VIIRS night-time lights (NTL) as a development proxy: non-climate projects raise NTL in mid-brightness ADM2 (more activity), while in already bright places NTL responses are muted—consistent with LED/dimming and land-use substitution toward transport/industrial surfaces—yet CO₂ still rises. Together, the evidence indicates: climate aid decarbonizes weakly to moderately; non-climate aid increases emissions by expanding local economic activity, with NTL patterns tracking that expansion where radiance remains informative.

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Introduction

International and domestic climate finance increasingly flows through, or must be implemented by, sub-national governments. Cities and regions control large shares of infrastructure investment, land-use regulation, and service delivery. Yet credible evidence on who receives climate finance, at what cost, and with what effects remains fragmented across disciplines. This article organizes that evidence articulates a tractable conceptual framework, and maps it to empirical strategies suitable for causal evaluation.

The relationship between development, climate aid/finance, and CO₂ emissions is complex. Climate finance and targeted aid can reduce CO₂ emissions, but the effectiveness depends on the type of aid, governance, and the stage of economic development. Economic growth and financial development alone often increase emissions unless paired with green finance or strong environmental policies.

Climate finance, especially when directed toward mitigation, is associated with lower CO₂ emissions, with stronger effects in countries with higher economic development and in small island states (C.-C. Lee et al. 2022; Khan, Ahmed, and Hull 2023). Green finance and green technology innovation consistently show significant negative impacts on CO₂ emissions in both developed (G7, OECD) and emerging economies (BRICS) (Sharif et al. 2022; Saeed Meo and Karim 2022; Umar and Safi 2023; Sadiq et al. 2024). Climate aid for renewable energy has a slight but transitory effect on reducing CO₂ emissions, with greater impact after a certain threshold. However, its effectiveness is limited if recipient countries prioritize economic over ecological efficiency (Kablan and Chouard 2022).

Regarding Official Development Assistance (ODA), it can directly and indirectly mitigate CO₂ emissions, but the effect is stronger in middle-income countries and when governance is robust. In low-income countries, the impact is limited (Barkat, Alsamara, and Mimouni 2024; S. K. Lee et al. 2020; Farooq 2021; Mahalik et al. 2021). However, aid directed toward fossil fuel development increases CO₂ emissions, especially in countries with less environmental regime integration (K. E. Henderson and Sommer 2022; K. E. Henderson 2019). Strong governance and environmental policies enhance the effectiveness of aid and finance in reducing emissions (Barkat, Alsamara, and Mimouni 2024; Farooq 2021; K. E. Henderson 2019).

Recent research provides clear evidence that green finance and climate aid can significantly reduce CO₂ emissions at the subnational (regional or city) level, but the effectiveness varies by region, policy design, and local economic structure.

Studies using data from hundreds of Chinese cities and provinces show that green finance policies and instruments (such as green loans and subsidies) have a significant negative effect on CO₂ emissions intensity at the subnational level. The effect is stronger in eastern and non-resource-based cities, while central and western or resource-dependent regions see weaker impacts (Y. Sun, Bao, and Taghizadeh-Hesary 2023; F. Wang, Cai, and Elahi 2021; Zhao et al. 2024; H. Li et al. 2025). Uniform national policies may be less effective than regionally tailored approaches. Incentive-based policies work better in developed eastern provinces, while a mix of supportive and pressure policies (like carbon taxes) are needed in less developed

central regions (Y. Sun, Bao, and Taghizadeh-Hesary 2023; H. Li et al. 2025). Green finance reduces emissions by supporting green technology innovation, upgrading industrial structure, and promoting renewable energy adoption. Debt-based green finance instruments are more effective than equity-based ones in reducing emissions at the city level (F. Wang, Cai, and Elahi 2021; Zhao et al. 2024). At the micro level, green finance helps firms reduce emissions through lower financing costs, technological innovation, and external supervision. However, emission reduction is less pronounced in heavy-polluting and resource-based industries (Zhao et al. 2024).

Green finance projects, those specifically designed to support low-carbon, environmentally sustainable activities, consistently outperform traditional development finance projects in reducing CO₂ emissions at the subnational (regional or city) level. Green finance significantly reduces local and neighboring CO₂ emissions, with a 1% increase in green financial development linked to a 3% decrease in regional emissions (J. Sun et al. 2022; Chen and Chen 2021; Su, Qiao, and Xu 2024). The effect is strongest in economically advanced or eastern regions and in non-resource-based cities, where financial markets and green policy implementation are more mature (Chen and Chen 2021; Su, Qiao, and Xu 2024). Green finance also creates “ripple effects,” reducing emissions in adjacent areas by promoting green technology and industrial upgrades (J. Sun et al. 2022; Chen and Chen 2021; Su, Qiao, and Xu 2024).

General development finance (not specifically climate-related) can have mixed or even adverse effects on emissions. In some cases, it increases emissions by fueling economic growth and energy consumption, especially in less developed or resource-dependent regions (Chen and Chen 2021; Su, Qiao, and Xu 2024; L. Wang, Yang, and Cai 2024; Mumuni and Hamad-joda Lefe 2023). The emission-reducing effect of traditional finance is weaker, and in some regions, it may actually exacerbate pollution unless paired with strong environmental regulations or targeted toward green sectors (Chen and Chen 2021; L. Wang, Yang, and Cai 2024). Traditional finance lacks these targeted mechanisms and may inadvertently support high-emission sectors (Chen and Chen 2021; L. Wang, Yang, and Cai 2024).

At the subnational level, green finance projects are significantly more effective than traditional development finance in reducing CO₂ emissions, especially in regions with mature financial systems and strong policy support. Traditional finance may have limited or even negative environmental effects unless explicitly directed toward green objectives.

Taken together, the existing evidence suggests that green-oriented finance can curb CO₂ emissions, particularly where governance quality and financial market depth facilitate effective absorption. However, most subnational studies are heavily China-centric, many empirical designs remain essentially correlational, and the distinction between “climate” and “traditional” finance typically relies on coarse, donor-provided labels. Moreover, much of this literature focuses on green finance in a broad sense, i.e. environment-related flows, rather than on climate finance narrowly defined as support explicitly targeted to adaptation or mitigation.

By contrast, climate finance, understood here as climate-related development flows from bilateral and multilateral agencies, can serve multiple and partly overlapping objectives.

Mitigation-oriented flows may directly reduce existing emissions, but in low- and middle-income countries they may also expand energy access by financing new, cleaner electricity generation capacity relative to the counterfactual mix. In that sense, mitigation aid often pursues conventional development goals in a less environmentally damaging way. For adaptation-oriented flows, the expected effects are even more ambiguous: by helping economies cope with current and future climate impacts, they may simultaneously foster development and, indirectly, emissions. Yet, by design, adaptation finance is intended to promote more sustainable development trajectories, and should therefore also channel this additional growth along a relatively less carbon-intensive path.

This leaves four central gaps: (i) limited external validity at fine geographic scales, (ii) weak causal identification of dynamic, project-level effects and spillovers, (iii) insufficient separation of mechanisms (mitigation vs. adaptation) and measurement error in climate tagging, and (iv) limited insights looking especially at climate finance.

This study addresses these gaps by assembling a global ADM2 panel that links project-level development and climate finance (Bomprezzi et al. 2024) to high-resolution emissions outcomes, and by using ClimateFinanceBERT (Toetzke, Stünzi, and Egli 2022) to validate climate content beyond donor labels. Leveraging modern staggered DiD estimators, I identify the dynamic effects of climate and traditional finance on CO2 levels and intensity. The project granularity enables clean contrasts between mitigation and adaptation portfolios, while text-audited tagging provides the first large-scale test of greenwashing/mislabeling in aid data. By delivering the first worldwide, causally identified, subnational assessment of how climate vs. traditional development finance shape emissions, this study moves the literature from suggestive correlations toward place-based evidence.

I leverage spatially explicit project data and a modern identification strategy to estimate the causal effect of climate finance on local pollution. This design combines (i) staggered adoption DiD (Callaway and Sant’Anna 2021) to identify average dynamic effects and (ii) dose-response analyses that compare dynamics across post-treatment exposure bins and via continuous doses at the ADM2-year level. This two-pronged approach distinguishes targeting from treatment intensity and is well-suited to the lumpy, time-varying nature of climate finance.

Data

I construct an ADM2-year panel by combining project-level aid data with spatially explicit environmental outcomes.

First, I draw on the GODAD project database (Bomprezzi et al. 2024), which provides geocoded aid projects with financial amounts allocated to specific subnational locations. To identify which of these projects are climate-related, I apply ClimateFinanceBERT (Toetzke, Stünzi, and Egli 2022) to the project titles and descriptions. This transformer-based classifier assigns each project either to a non-climate category or, if it is climate-relevant, to one of three mutually exclusive categories: adaptation, mitigation, or environment. This procedure yields a text-based, content-driven measure of climate finance that does not rely on donor

self-labeling.

On the financial side, I work with project-level amounts allocated at the location–year level. I prioritize `disb_loc_evensplit`, which distributes reported disbursements evenly across all geocoded locations (and, where necessary, over project years). When disbursement data are missing, I use `comm_loc_evensplit`, the analogous even-split commitment variable, as a proxy. I then aggregate these location-level amounts to the ADM2–year level separately for each climate category, which provides a consistent measure of subnational climate finance over time. Yet, my first treatment will be the year of the first project occurring in the ADM2.

Second, I merge in environmental outcomes from EDGAR ([Janssens-Maenhout et al. 2019](#)), using gridded emissions data aggregated to ADM2 boundaries by area-weighted averaging. For each year, I compute emissions at the ADM2 level by intersecting the EDGAR raster grid with ADM2 polygons and averaging cell values weighted by the share of cell area falling within each ADM2. The resulting ADM2–year emissions series is then matched to the aggregated GODAD climate finance data using a common ADM2 identifier and calendar year, yielding the final ADM2–year panel used in the analysis.

For each category, the adoption year for ADM2 j is defined as the first year with a strictly positive monetary amount:

$$g_j \equiv \min\{t : \text{Amount}_{jt} > 0\}.$$

Post-treatment exposure is the cumulative amount from the adoption year to the end of the panel:

$$\text{Exposure}_j \equiv \sum_{t \geq g_j} \text{Amount}_{jt}.$$

I partition treated ADM2s into intensity bins given by the empirical quantiles of Exposure_j . For descriptive cross-country figures, country–year totals are computed directly from GODAD by aggregating project amounts to the country–year level.

For the outcome variable, I build a global ADM2–year panel of territorial CO2 emissions by aggregating the EDGAR 0.1° “CO TOTALS” rasters (2000–2022) to second-level administrative boundaries. ADM2 polygons are loaded from GADM, validated and harmonized (ISO3, ADM1/ADM2 names, stable GID), and re-projected to WGS84. For each year, I read the corresponding EDGAR raster (netCDF/GeoTIFF), ensure CRS consistency, and for efficiency, crop by country envelope before extracting area-weighted sums over each ADM2. The resulting tonnes are stored and cached.

Note that these ADM2 values are *model-based allocations* of national/sector totals onto grid cells rather than native administrative measurements; precision is therefore higher where emissions come from mapped point sources (power/industry) and lower for diffuse sectors, and results can be sensitive to boundary definitions and small polygons, issues that are mitigated with exact area weighting and explicit versioning of both EDGAR and GADM.

Empirical Strategy

Let Y_{jt} denote $\log(1 + \text{emission})$ in ADM2 j and year t . We estimate group-time average treatment effects using the **CS** estimator with not-yet-treated controls:

$$ATT(g, e) = \mathbb{E}[Y_{jt}(1) - Y_{jt}(0) \mid g_j = g, t - g = e],$$

and aggregate to dynamic event-time profiles with simultaneous confidence bands. To study heterogeneity by dose, we compute post-treatment totals (commitments/disbursements) and re-estimate dynamics within dose bins. This approach allows us to trace out how the magnitude of climate finance is related to the size of the estimated effects (“do larger flows generate larger emission responses?”), while still exploiting only the variation coming from staggered treatment timing.

Sample description

Table 1: Panel overview (ADM2–year).

Statistic	Value
Obs. (ADM2–year)	878 669
ADM2 units	38 203
Years	23
Year span	2000–2022
Ever treated ADM2	4 736
Never treated ADM2	33 467
Share treated by last year	12.4%

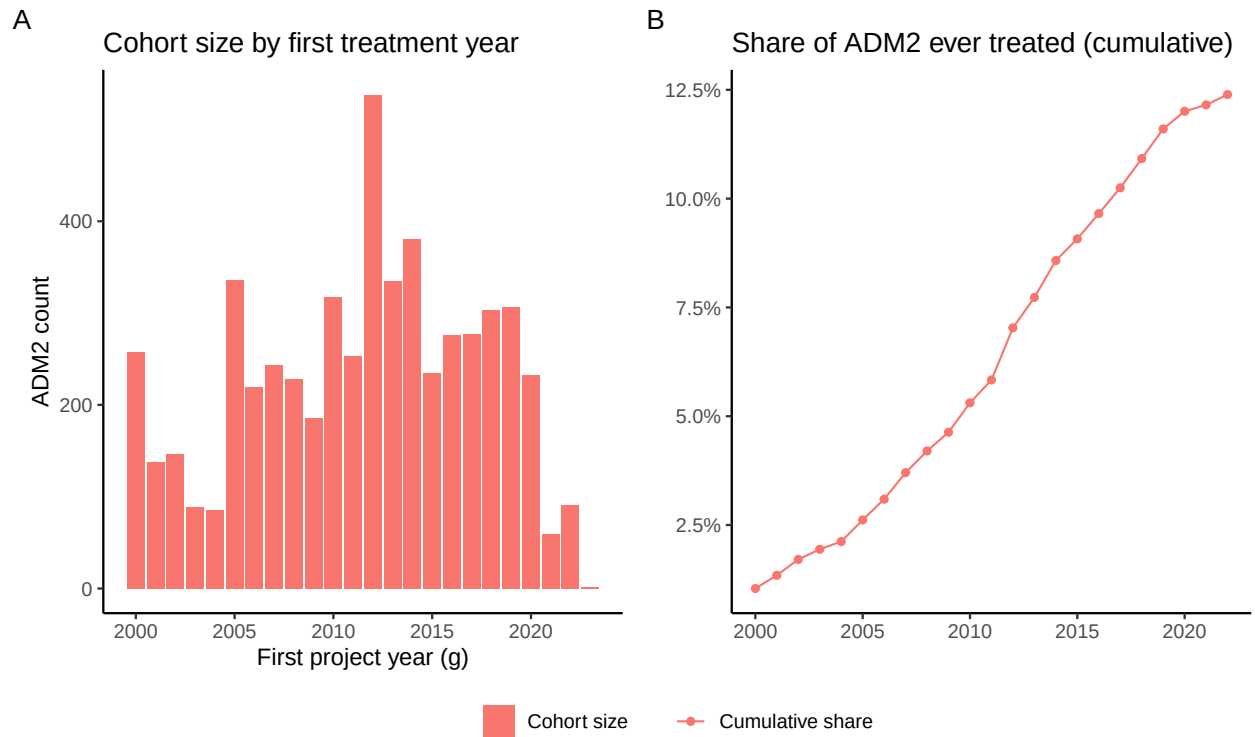
One can observe from Table 1 that the panel is large and nearly balanced, 38,203 ADM2 units observed over 23 years (2000–2022) yielding 878,669 unit–years, so missingness is minimal and pre-trend and medium-run dynamics are feasible. Only 12.4% of ADM2s are ever treated by 2022 (4,736 units), which provides abundant never- or not-yet-treated controls well suited to modern staggered DiD designs, while warranting overlap diagnostics and, if necessary, reweighting or trimming to common support. Staggered adoption and the definition of treatment as the first positive climate amount naturally motivate dynamic event-study ATTs alongside dose–response analyses based on cumulative post-treatment exposure. For clarity, note that the reported “share treated by last year” is the fraction ever treated by the final year, not the fraction treated in that year. Given the sample size and number of treated clusters, average effects should be precisely estimated.

Table 2: Descriptive statistics for log CO₂ outcomes: overall and by treatment status.

Group	N	Mean	Sd	P10.10%	P50.50%	P90.90%
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Overall	878669.000	10.558	2.072	8.308	10.412	13.195
Never treated	769741.000	10.441	2.008	8.264	10.312	12.983
Ever treated	108928.000	11.386	2.312	8.744	11.148	14.511

In terms of outcomes, Table 2 shows that the distribution of log CO₂ is clearly right-shifted for ever-treated ADM2s relative to never-treated ones: the mean gap is 0.945 log points, implying treated ADM2s exhibit about $2.57\times$ higher CO₂ levels on average $e^{0.945} \approx 2.57$, with a median gap of 0.836 log points $\approx 2.31\times$. Dispersion is larger among treated units (SD 2.31 vs 2.01), and the displayed percentiles are uniformly higher ($P10 : +0.48 \log \approx +62\%$ $P90 : +0.212\log \approx +24\%$), suggesting a broad rightward shift rather than just upper-tail differences. Cross-sectionally this is consistent with selection: treated ADM2s are likely more urban/industrial or otherwise systematically different. A pooled standardized mean difference of ≈ 0.46 (using group SDs and sample sizes) indicates moderate imbalance that should be addressed. Substantively, these gaps underscore the need to rely on within-ADM2 identification (unit and year fixed effects), probe parallel trends with event-study leads.



Note: g denotes the first year an ADM2 receives a positive climate amount (adaptation or mitigation). Panel A shows the count of ADM2s by g (years ≥ 2000). Panel B plots the cumulative share of all ADM2s with $g \leq \text{year}$; the denominator includes never-treated ADM2s. Percent axis in Panel B refers to this share. Missing g implies never-treated; cohorts are right-censored at the panel end.

Figure 1: Adoption dynamics at ADM2 level: (A) cohort size by first treatment year; (B) cumulative share of ADM2 ever treated.

According to Figure 1, the adoption of climate finance projects (either adaptation or mitigation) profile is clearly staggered and concentrated in the early-to-mid 2010s: Panel A shows

modest early cohorts, a marked ramp-up around 2011–2016, and thinning cohorts thereafter (partly right-censoring near the panel end), while Panel B’s S-shaped curve plateaus at ≈ 12 –13% of ADM2s by 2022. Combined with earlier descriptives, treated ADM2s are systematically more CO₂-intensive, this pattern is consistent with selective rollout toward higher-emitting, more urban/industrial areas rather than random diffusion. Empirically, these features favor staggered event-study designs with rich fixed effects, but they also call for explicit pre-trend tests (anticipation and dose–response specifications using post-treatment exposure).

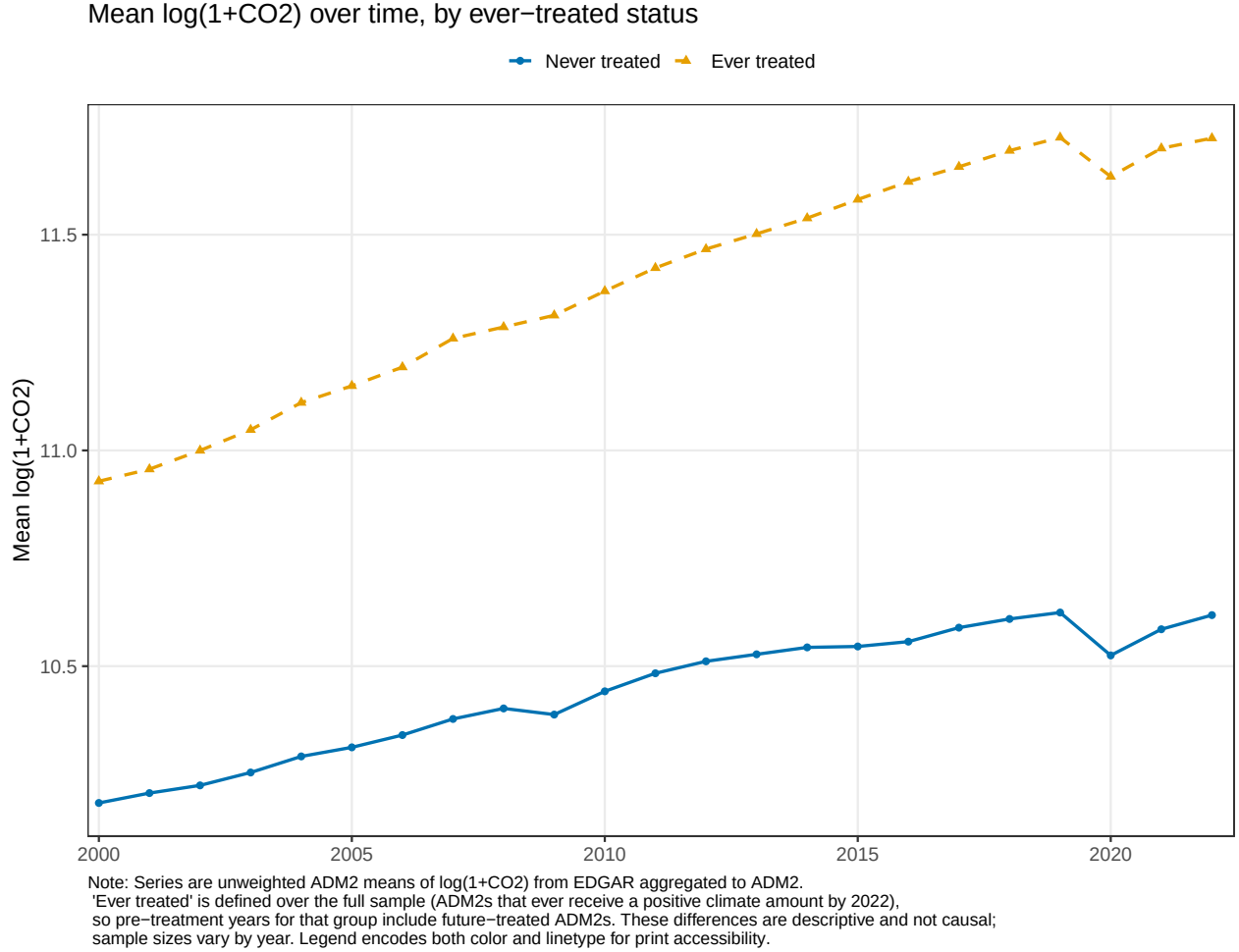


Figure 2: Unadjusted means of $\log(1+\text{CO}_2)$ by treatment status over time.

In Figure 1, the unadjusted series show a stable level gap, ADM2s that ever receive climate projects have consistently higher $\log(1+\text{CO}_2)$, but the two groups move along very similar secular paths. From 2000 to the early-mid 2010s both lines trend upward with comparable slopes, and there is no obvious pre-period divergence, which is reassuring for the parallel-trends requirement. Because “ever treated” is defined over the whole sample, these differences are descriptive, not causal, and reflect composition (future-treated units are included in pre-years). Accordingly, my identification will rely on within-ADM2 variation and dynamic event-study leads to test for anticipation. I will also probe heterogeneity and spillovers, but

the aggregate pattern here is broadly consistent with a DiD design: different levels, similar trends.

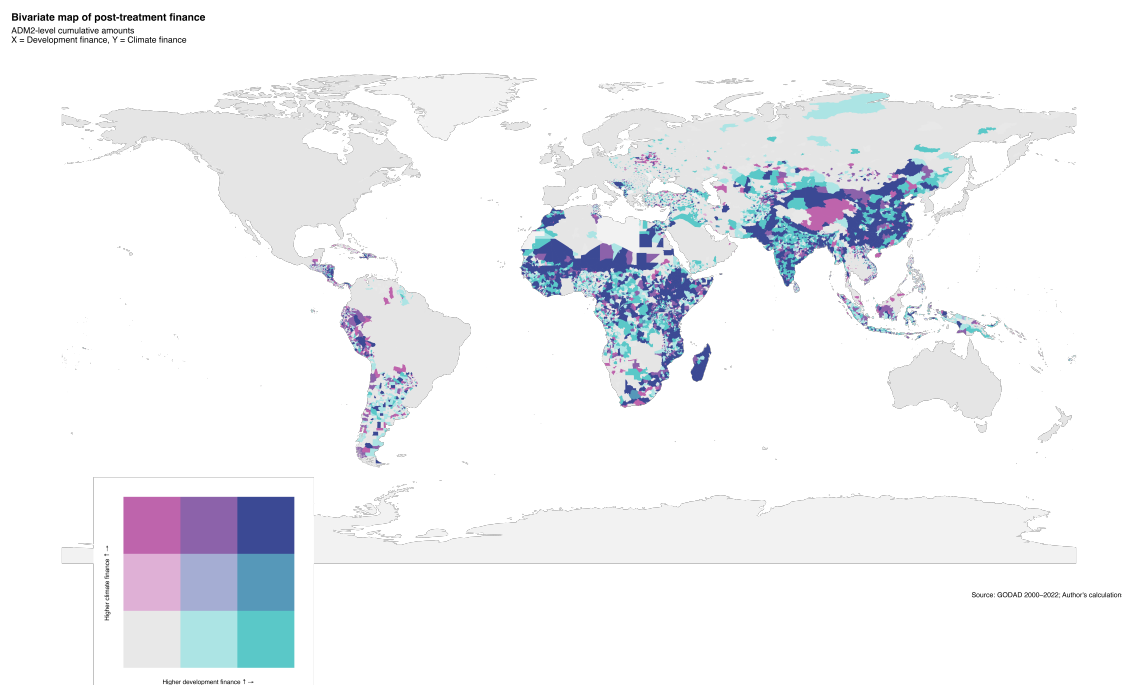


Figure 3: ADM2-level cumulative climate finance (USD, log scale). Light grey = no projects.

Figure 3 shows a highly clustered footprint of climate-project exposure at the ADM2 level with a dense concentrations across Sub-Saharan Africa (Sahel, Great Lakes, coastal West Africa), South Asia (Indo-Gangetic plain and Himalayan foothills), and parts of Southeast Asia, with smaller pockets in the Andes and Central America; coverage is sparse in North Africa/Middle East and essentially absent in high-income countries (by design). This spatial pattern is consistent with targeting toward populous/urbanizing and vulnerable corridors.

Results

I identify dynamic treatment effects by comparing newly treated ADM2s to ADM2s that have not yet received a climate project in that event-time, which preserves credible counterfactuals under staggered adoption. With only 12.4% of ADM2s ever treated by 2022, the panel supplies abundant not-yet-treated controls for each cohort–event cell. Event-study leads are near zero, supporting parallel trends in the pre-period. I identify the first year in which an

ADM2 receives at least one climate project. If the GODAD file already has an ADM2 code, I use it; if not, a spatial join using the point geometry is performed.

Using not yet treated estimation allows to reduce the selection into treatment, also, as it is expected to see a decrease in CO2 emission with implementation of climate-related development projects, non-treated, bordering ADM2 areas shall also be benefiting from treatment. This allows a downward bias to the results that will be presented after.

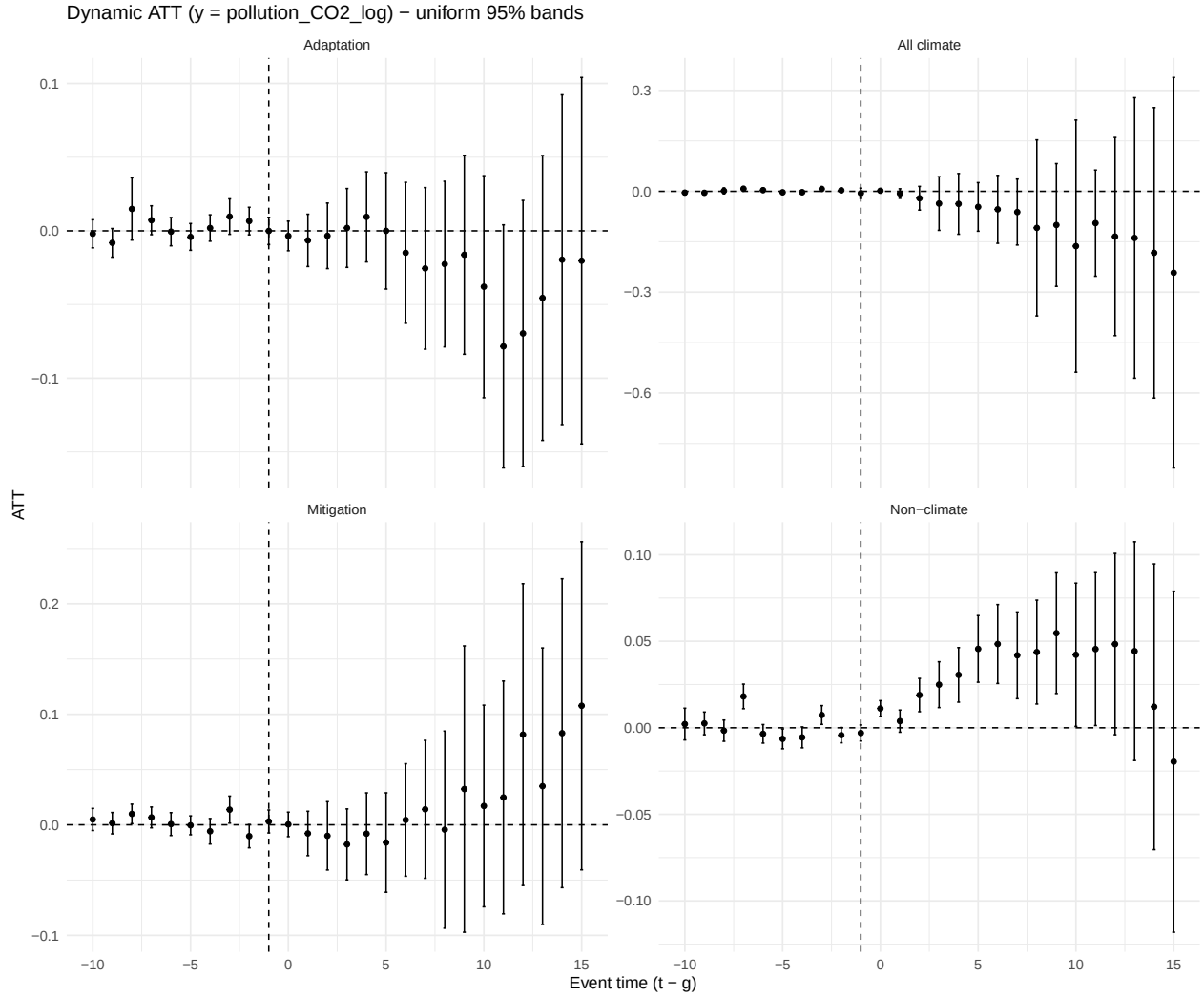


Figure 4: Dynamic treatment effects of aid adoption on local CO2 emissions (log). Event-time estimates ($t-g$) from Callaway–Sant’Anna DiD using not-yet-treated controls, doubly-robust estimator, and uniform 95% simultaneous bands (multiplier bootstrap; clustered at ADM2).

The Figure 4 dynamic event-study estimates (uniform 95% bands) indicate no evidence of anticipatory behavior: pre-treatment coefficients are small and statistically indistinguishable from zero across all specifications, supporting the parallel-trends assumption. Aggregating categories, all climate projects yield a modest negative long-run effect, whereas non-climate

aid shows small positive effects, in line with the scale effects of general development spending. Furthermore, aid boosting economic activity and therefore CO2 emission is an expected results, its magnitude might be reduced due to spillover effect. Indeed, bordering region might also benefit from treatment in terms of economic activity but also in terms of emission spreading. This could increase control group emission as well, reducing the effect of development projects.

Heterogeneity

Event study by post-treatment dose bins

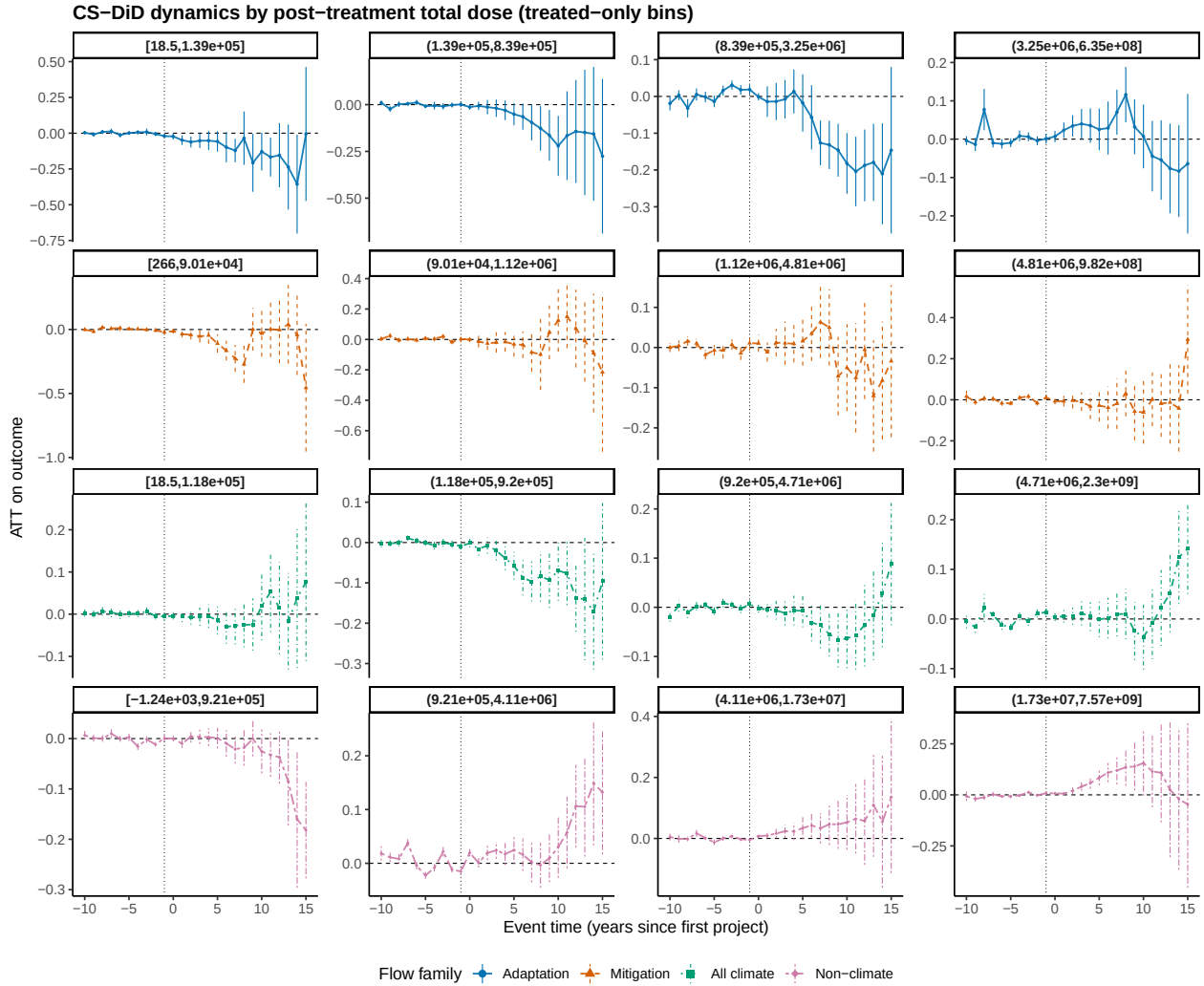


Figure 5: Event-study by post-treatment total dose — stratified bins (treated-only cuts).

Interpretation. Higher post-treatment exposure is associated with larger post-event estimates, consistent with a **dose-response** relationship. Pre-treatment coefficients remain centered at zero across bins. As we can see in Figure 5, event-time dynamics are shown sep-

arately by post-treatment exposure bins (treated-only cuts). Across families, pre-treatment coefficients hover near zero with wide, overlapping bands, supporting the parallel-trends assumption. Post-treatment, the **climate portfolios** display the expected *intensity gradient*: in mid- and high-dose bins, adaptation and (to a lesser extent) mitigation tilt negative in the medium run (roughly $e [5,12]e [5,12]e [5,12]$), with several bins showing -0.1 to -0.3 log-points, while low-dose bins are small and often indistinguishable from zero. By contrast, **non-climate finance** tends to move **positive** at higher doses and longer horizons (late eee), consistent with scale effects from general activity. The **all-climate** aggregate mirrors these patterns—modest declines that strengthen with dose—although extreme bins occasionally exhibit noise and reversion, reflecting fewer treated units and wider uniform bands. Overall, the figure indicates (i) no systematic anticipatory trends; (ii) climate projects reduce local CO₂ more where cumulative funding is larger; and (iii) conventional development finance can partly offset these gains at high intensity. We caution that several bin-specific profiles have broad confidence intervals, so inference should emphasize the cross-bin monotone pattern rather than any single coefficient, and we verify robustness to alternative binning rules and the exclusion of influential countries in subsequent checks.

Event-study per climate class

	class	g	N
	<char>	<int>	<int>
1:	500	2001	1202
2:	500	2002	773
3:	500	2003	760
4:	500	2004	1251
5:	500	2005	984

224:	Wind-energy	2013	5
225:	Wind-energy	2016	5
226:	Wind-energy	2017	14
227:	Wind-energy	2019	5
228:	Wind-energy	2020	7

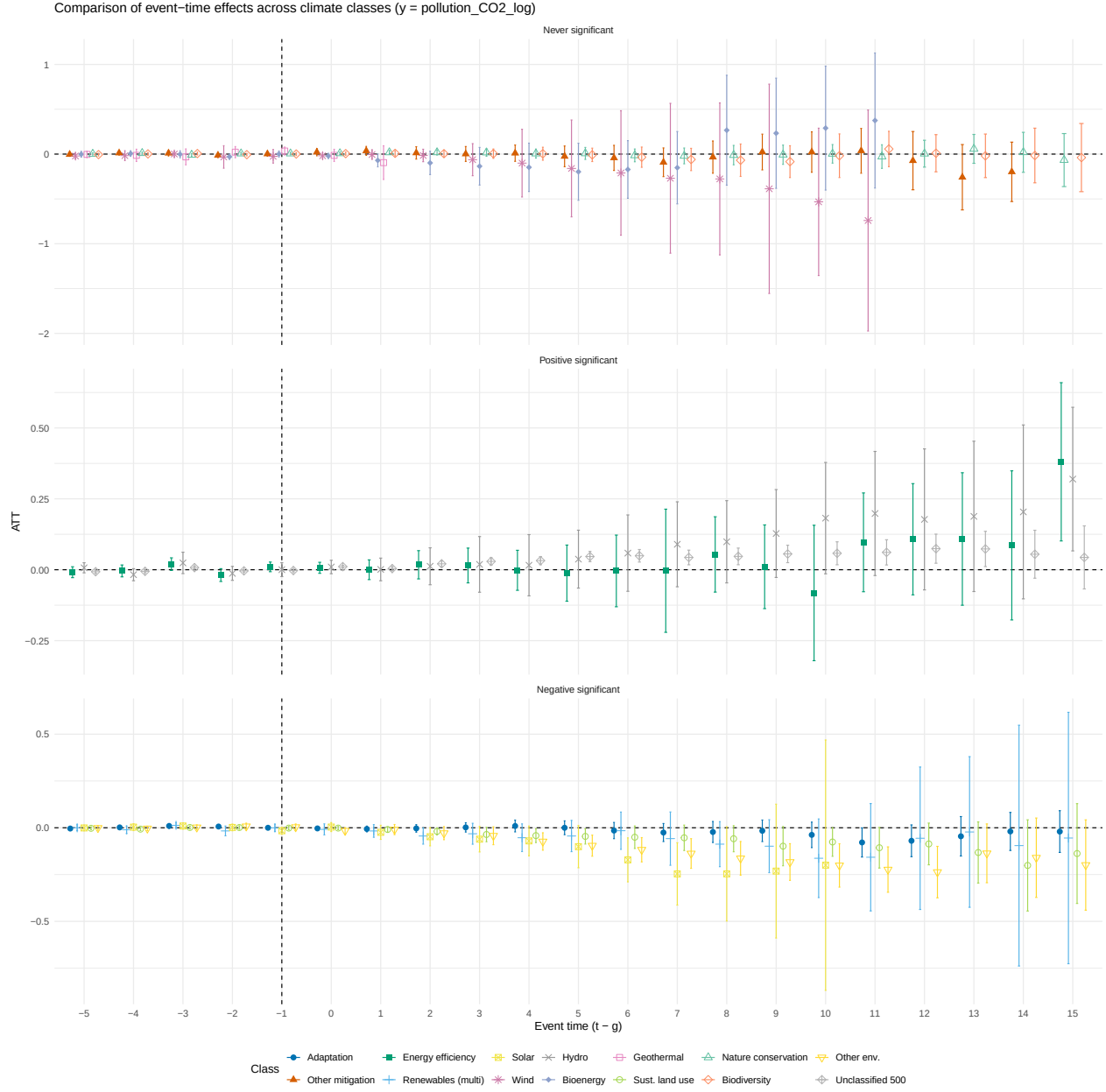


Figure 6: Comparison of event-time effects across climate classes

Robustness Checks

Placebo test

To probe identification, I implement a placebo event-study that advances the cohort year by four years $g^{pl} = g - 4$ and re-estimates dynamic effects on the true pre-treatment sample. Results are displayed in Figure 7. Across all four categories (Adaptation, Mitigation, All climate, Non-climate), placebo ATTs are close to zero around the pseudo-event time and the uniform 95% bands typically cover zero throughout the window, with no systematic

departures. The mild drifts with widening intervals in far “post” leads are consistent with thinning support at long leads rather than genuine effects. Because any non-zero placebo effect would reflect differential pre-trends, these results provide no evidence of anticipatory dynamics or pre-trending, lending credibility to the parallel-trends condition underpinning our baseline estimates.

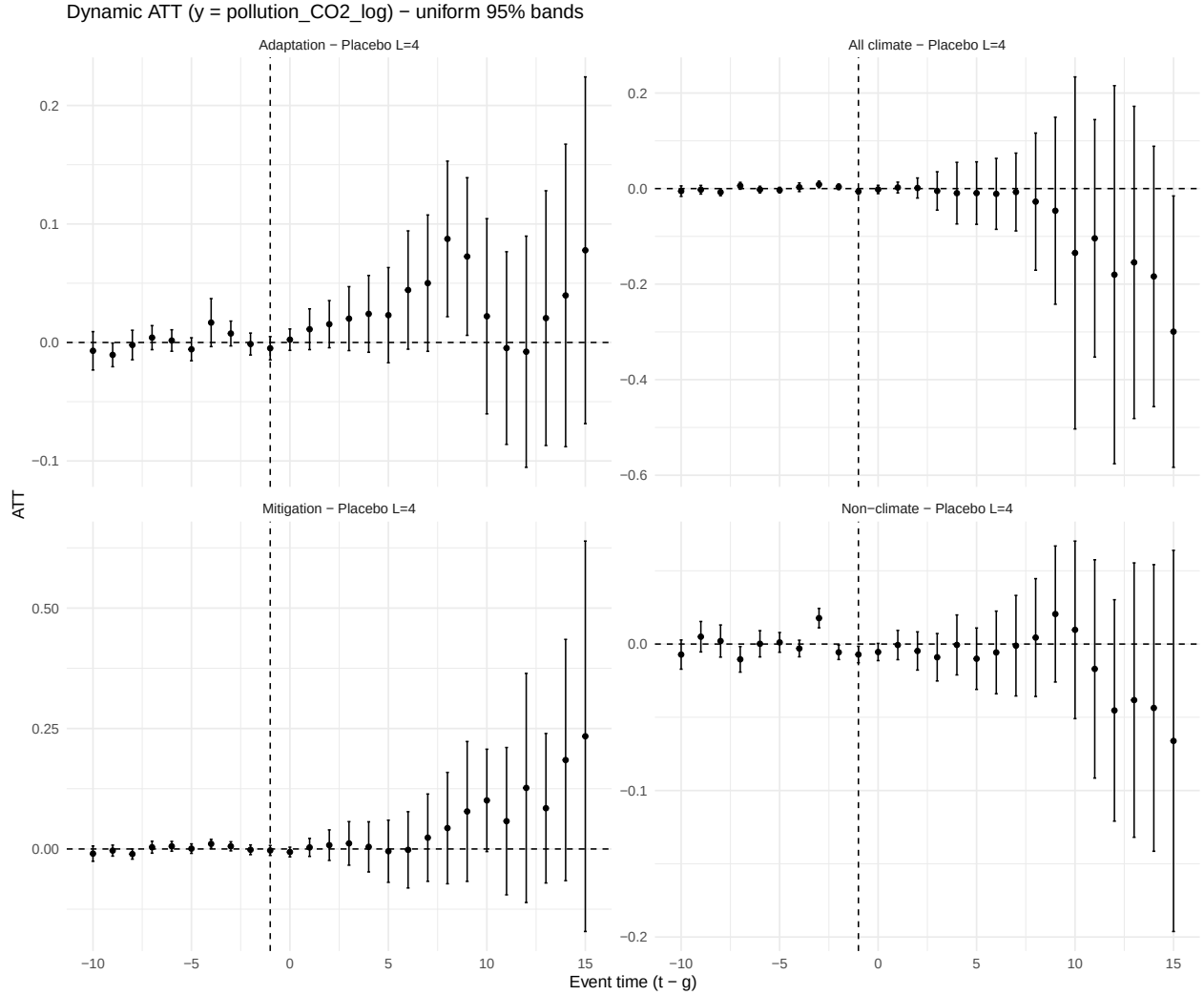


Figure 7: Dynamic treatment effects of aid adoption on local CO2 emissions (log). Event-time estimates ($t-g$) from Callaway–Sant’Anna DiD using not-yet-treated controls, doubly-robust estimator, and uniform 95% simultaneous bands (Placebo).

Excluding China

As one can see in Table A1, chinese adm2 region are overrepresented in top emission treated adm2. To assess the sensitivity of the results, I will exclude China from the regression to stress the results.

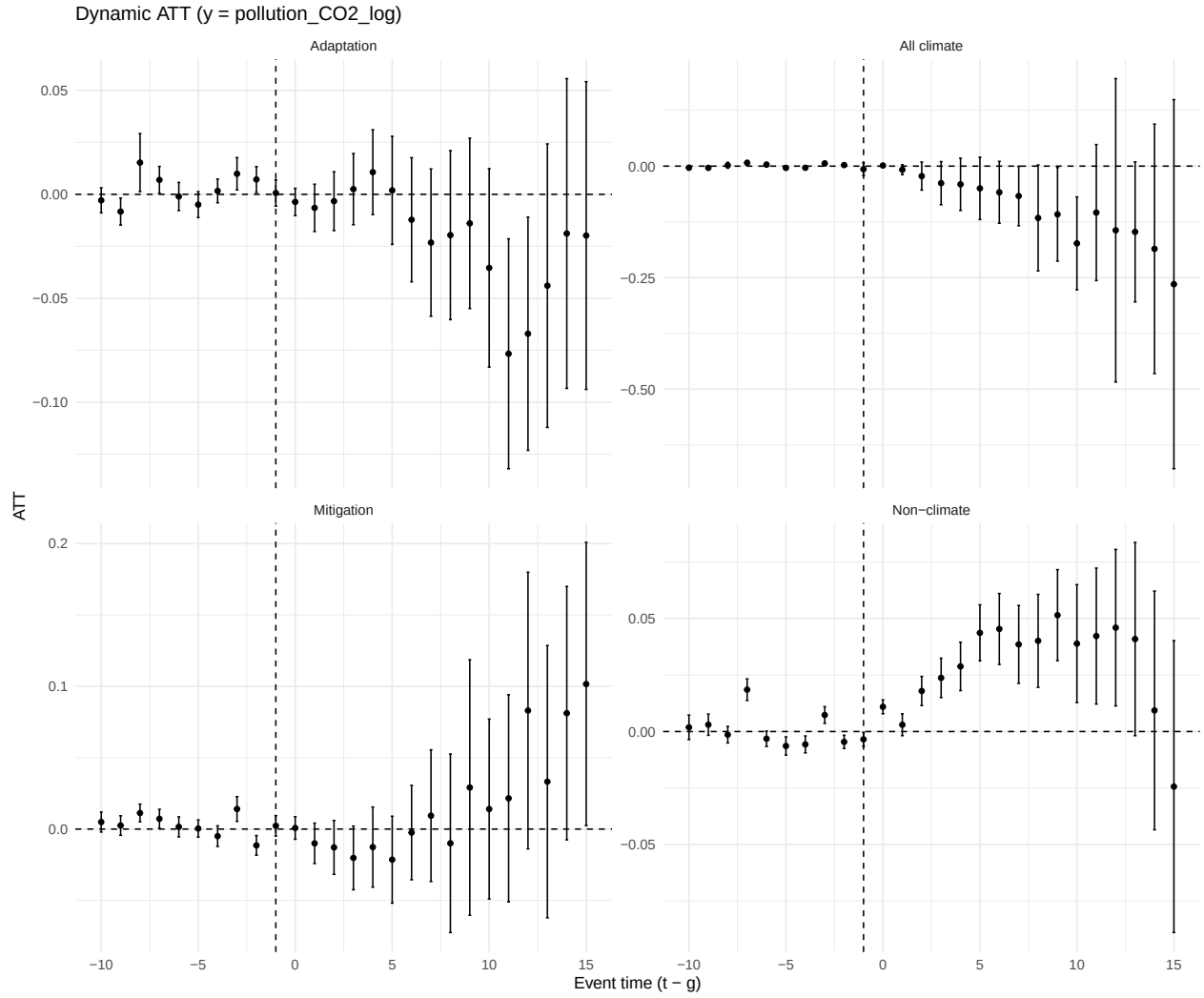


Figure 8: Dynamic treatment effects of aid adoption on local CO2 emissions (log, China excluded)

As we can see in Figure 8, removing chinese observations does not change the results. It even improves it if we look at adaptation aid, where one can see a significant drop in emission.

Intensity

As well for the intensity, the methodology is reproduced to stress the results in excluding chinese adm2 in Figure 9.

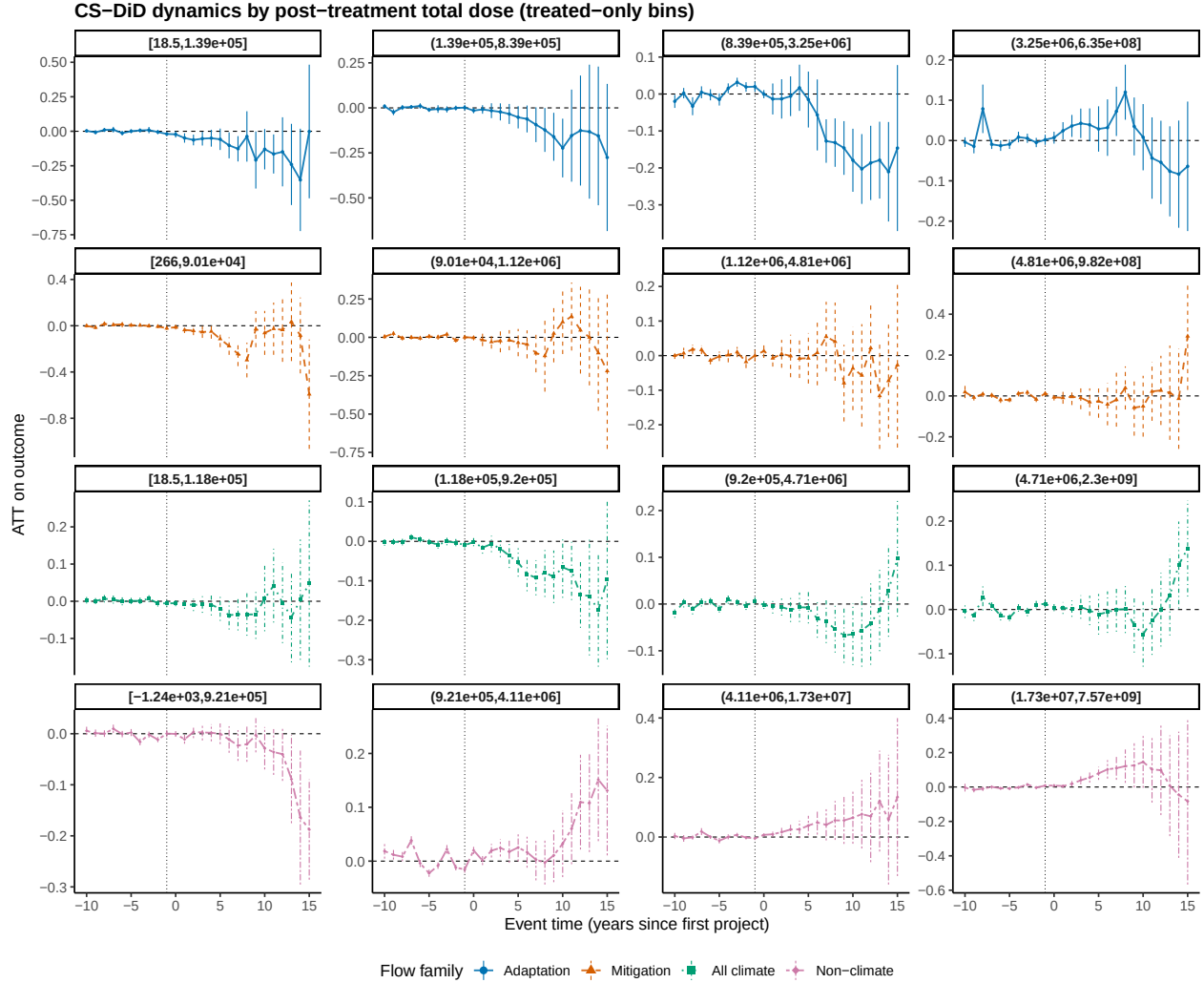


Figure 9: Event-study by post-treatment total dose — stratified bins (treated-only cuts, China excluded).

Excluding China leaves the core patterns intact and, if anything, clarifies the dose-response. Pre-treatment coefficients remain close to zero across bins, supporting parallel trends. On the treatment side, climate portfolios continue to show medium-run declines in local log-CO that strengthen with cumulative exposure: attenuation at very low doses, progressively more negative ATTs in the mid/high-dose bins, and a similar profile for the all-climate aggregate. Non-climate finance again tilts positive at longer horizons in higher-dose bins, consistent with activity scale effects. Magnitudes are modestly smaller and several bands are wider, expected given the drop in sample size and the removal of a high-leverage country, but the cross-bin monotone pattern (more climate money implies larger emissions reductions) survives. Overall, this figure demonstrates that the main results are not driven by China: there are no systematic anticipatory trends, climate funding reduces emissions where it accumulates, and conventional aid can offset these gains at high intensity. We therefore interpret the China-excluded estimates as a robustness check that reinforces the global findings rather than a substantively different story.

Mechanisms

To support the idea of non-climate related projects fostering development and therefore emission, I collected nighttime lights (NTL) yearly averaged at adm2 level in treated areas. I proxy local economic development with NTL for two reasons. First, a large literature shows that variation in NTL captures intensive-margin economic activity and infrastructure at fine spatial scales, especially where income data are sparse (J. V. Henderson, Storeygard, and Weil 2012; Chen and Nordhaus 2011; Pinkovskiy and Sala-i-Martin 2016). Second, NTL reacts contemporaneously to investments in roads, electrification, and urban services, giving a timely marker of development intensity at ADM2. The ex-ante hypothesis was therefore: non-climate aid (and some climate-related investments) should increase local development, captured by NTL, and, at least in the short run, also increase CO₂ emissions, via higher energy use, transport, construction, and operation of industrial/process activities.

Figure 10 (event studies on $\log(1 + VIIRSNTL)$) shows (i) broadly flat pre-trends and (ii) at most modest post-t dimming of NTL for climate and non-climate projects in the *aligned* sample, particularly in already bright places (see Figure 11). Taken at face value, this pattern appears inconsistent with the “more project equals more light” channel. However, it is consistent with two theory-driven mechanisms:

1. LED/spectral-bias and dimming: Many projects retrofit public lighting and street infrastructure with LEDs or install smart dimming controls for energy efficiency. VIIRS-DNB is relatively less sensitive to blue-rich white LEDs and to reduced operating hours, so measured radiance can decline even when lumen output or activity does not (X. Li et al. 2017; Kyba et al. 2017; Levin et al. 2020). In parallel, improved connectivity and reliability can raise daytime activity, fuel use, and process/transport emissions, explaining a raise in CO₂ with NTL near zero.
2. Daytime/process intensity with limited lighting: Industrial parks, cement and extractive activities, logistics hubs, and road programs primarily lift daytime or process loads (EDGAR industry/transport sectors) while adding little additional night lighting. This generates a high CO₂ with little NTL response. Furthermore, in areas that are already highly illuminated, the likelihood of receiving large infrastructure investments (e.g., road construction) is greater. However, such projects can reduce observed night-time radiance when residential or commercial land uses, typically brighter at night, are replaced by transport infrastructure that emits less sustained light.

--- SAMPLE SIZE (obs = ADM2×year) ---

Original outcome (pollution_CO2_log): 878 669

VIIRS night-lights : 566 592

Common keys: 382 020 | Only CO2: 496 649 | Only VIIRS: 184 572

Aligned dataset: 382 020 obs, 38202 ADM2

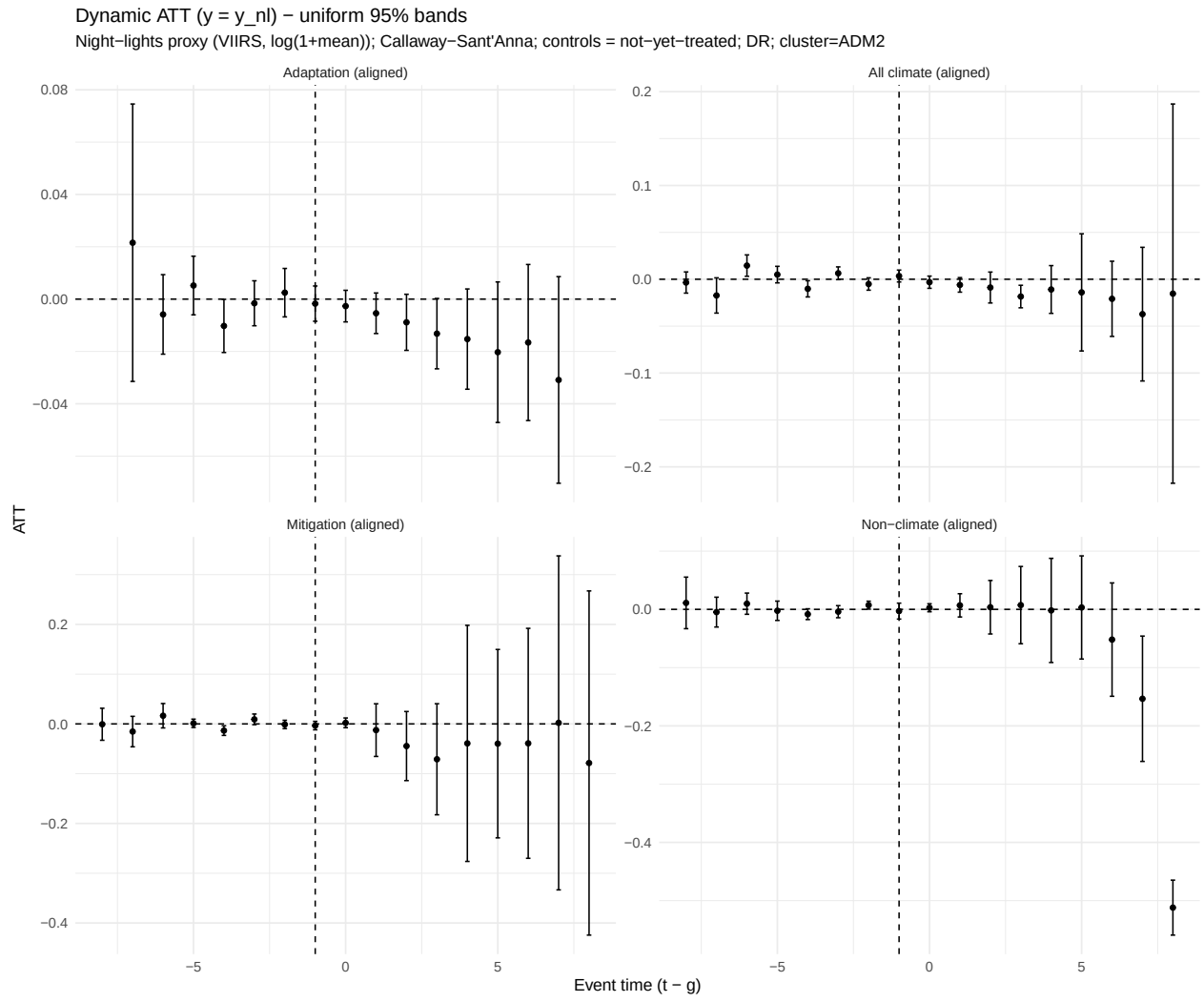


Figure 10: Dynamic treatment effects of aid adoption on NighTime Lights (log, ADM2)

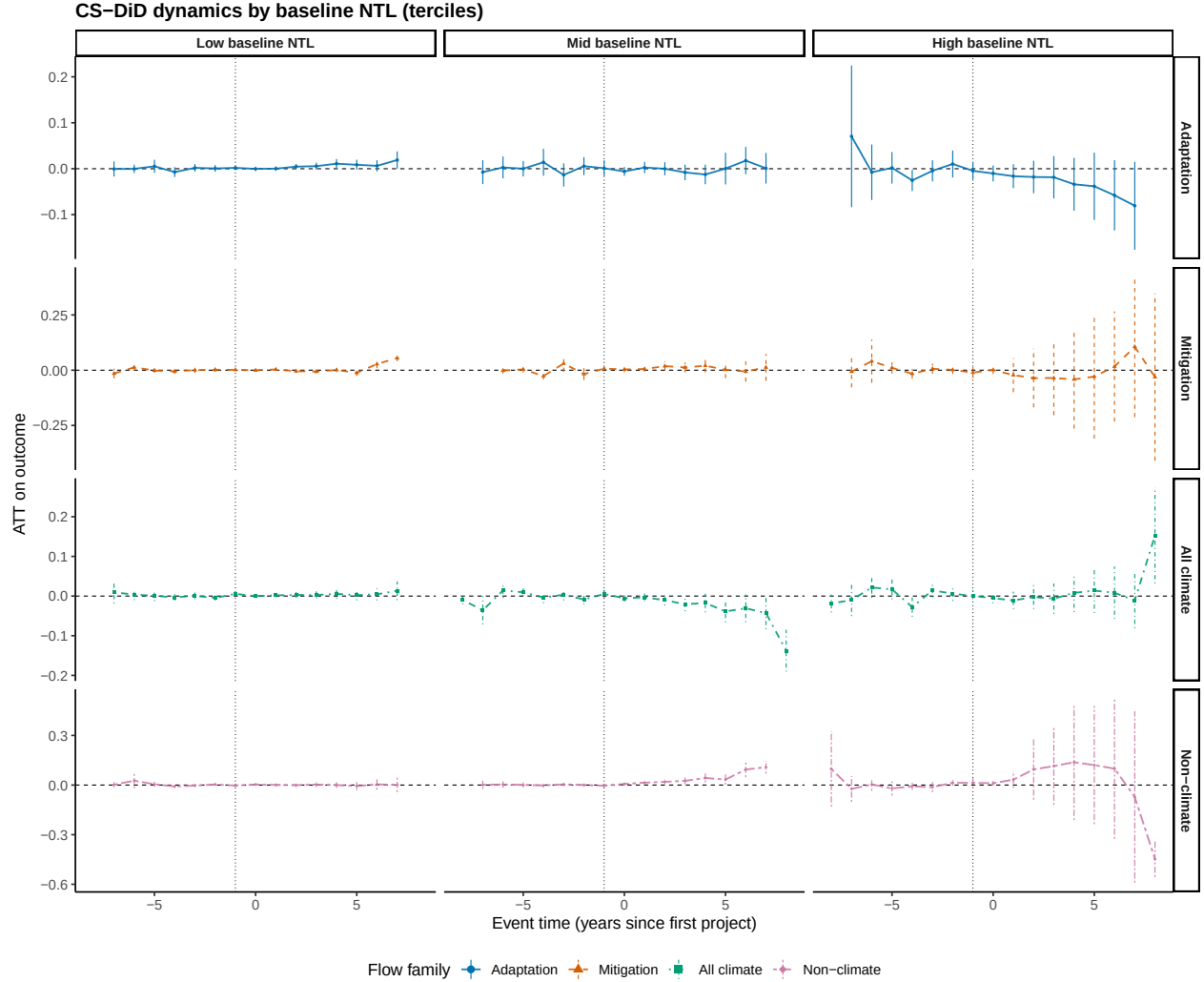


Figure 11: CS-DiD dynamics in night-time lights by baseline brightness (terciles)

Figure 11 directly speaks to mechanism (1): when we split the sample by baseline brightness terciles (2013), the post-t dimming is concentrated in the high-NTL tercile, precisely where public lighting stocks are largest and LED/dimming retrofits bite most. Pre-t coefficients remain near zero across terciles, reinforcing identification. Furthermore, in mid tercile of NTL at beginning of the observed period, one can see that non climate project are increasing NTL, whereas in high NTL, the lowering of NTL is coming at the end of the observable period and might be driven by high industrial and infrastructural projects. Figure 12 illustrates this.

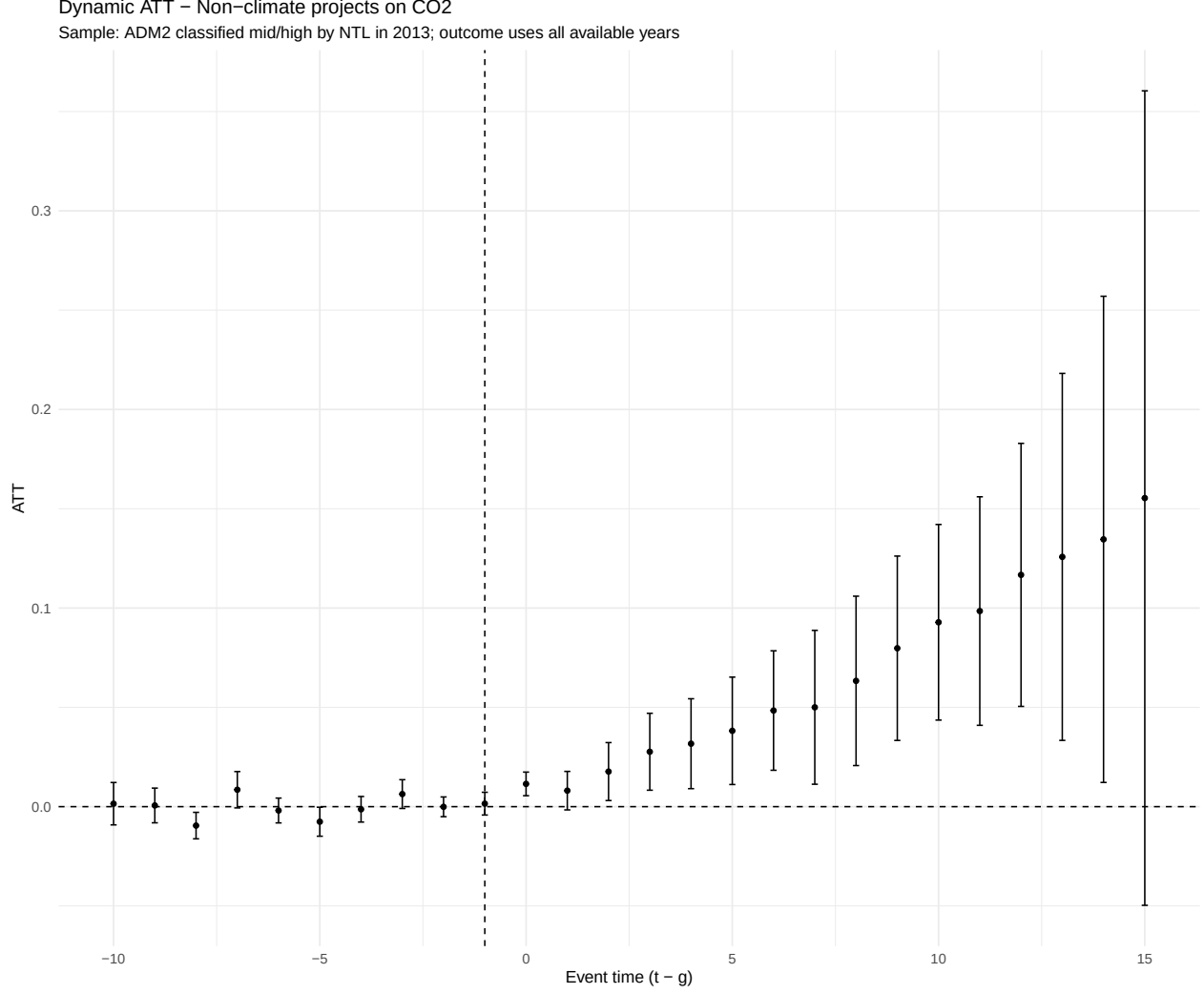


Figure 12: Dynamic ATT of non-climate projects on CO2 emissions (ADM2, mid/high NTL baseline)

Restricting the sample to ADM2 in the mid and high NTL terciles in the baseline year (2013) yields a clear post-treatment pattern for non-climate projects: CO2 emissions increase monotonically over the horizon, with flat pre-trends. Interpreting this together with our NTL results points to a development-driven mechanism in which non-climate assistance expands local economic activity, but the visibility of that expansion in night lights depends on baseline brightness and the composition of projects.

In mid-NTL areas, the project mix plausibly tilts toward development-oriented investments, housing upgrades, services, small commerce, electrification, that not only raise activity (and thus CO2) but also increase NTL, producing the expected positive association between development and measured radiance. By contrast, in already bright (high-NTL) areas, marginal brightening is harder to achieve (ceiling/saturation) and the portfolio shifts toward large transport and backbone infrastructure (roads, logistics platforms, rights-of-way). These investments scale daytime/process activity and emissions yet contribute little to sustained

night radiance; they may even reduce NTL through land-use substitution (replacing brighter residential/commercial uses with less luminous transport surfaces) and through lighting efficiency changes (LED retrofits, dimming, shorter operating hours).

This mechanism reconciles the paper’s core findings. First, it explains why non-climate aid raises CO₂ while NTL responses are muted or negative in bright places: NTL is sensitive to lighting technology and land-use composition, not just to output. Second, the heterogeneity by baseline brightness, NTL gains concentrated in mid-NTL ADM2 and attenuation in high-NTL ADM2, is consistent with selection into project types and with greater scope for efficiency retrofits where lighting stocks are large. Third, consistently flat pre-trends across specifications support the identifying assumptions of our DiD design.

Overall, the evidence indicates that non-climate assistance primarily scales up development-intensive, energy- and transport-using activity, while contemporaneous lighting and land-use changes modulate the NTL signal. This joint reading, CO₂ up, NTL up in mid-NTL; CO₂ up, NTL flat/down in high-NTL, highlights the importance of combining NTL with sector-specific outcomes when assessing local development impacts.

Which climate aid tends to foster development ?

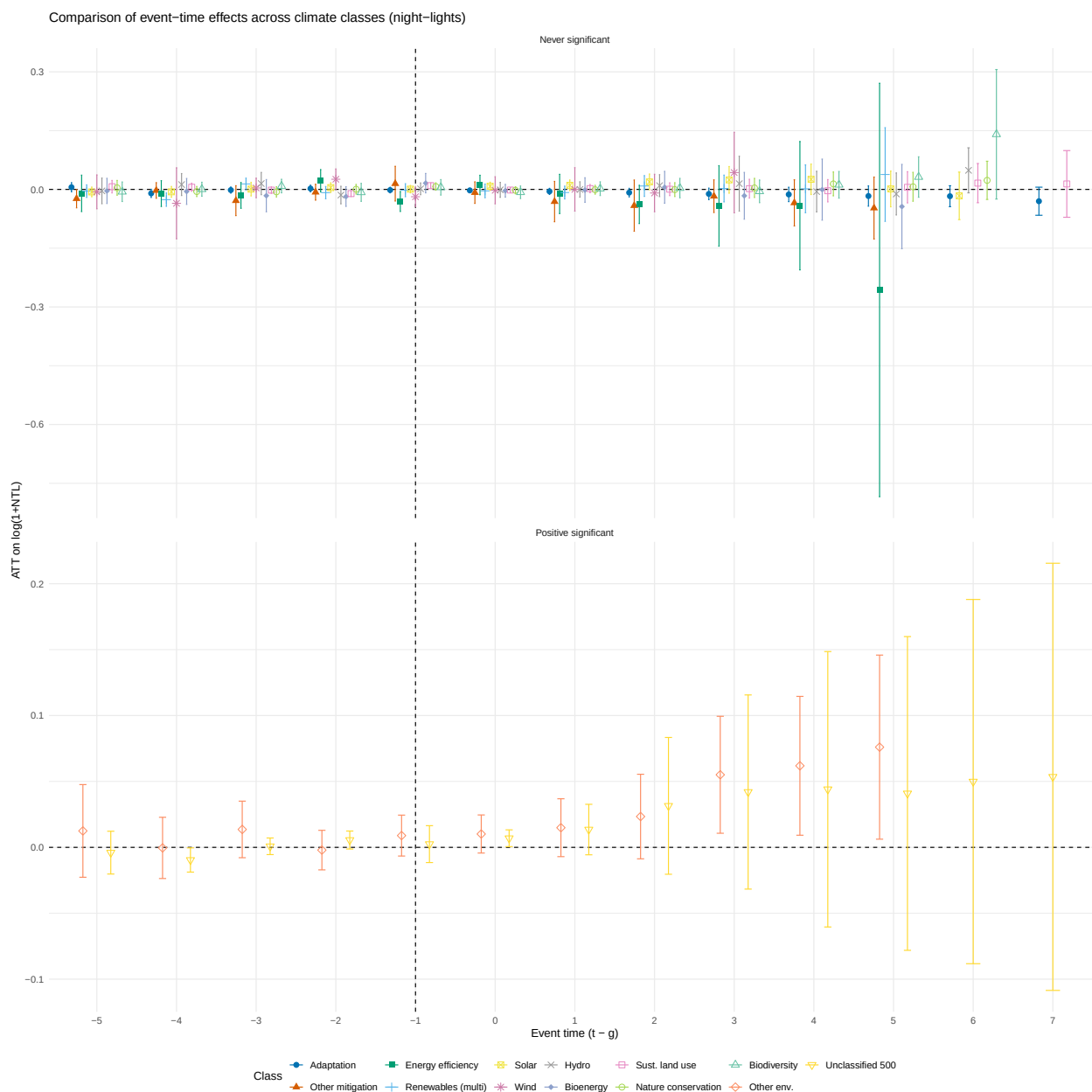


Figure 13: Event-study ATT on VIIRS night-lights ($\log(1+\text{mean})$) by GODAD climate classes. Facets group classes that show post-treatment uniform-significant positive, negative, or never-significant effects.

Policy Recommendations

Canon classes in NTL only:

Canon classes in C02 only:

Geothermal-energy

Canon classes used (intersection):

Adaptation, Other-mitigation-projects, Energy-efficiency, Renewables-multiple, Solar-en

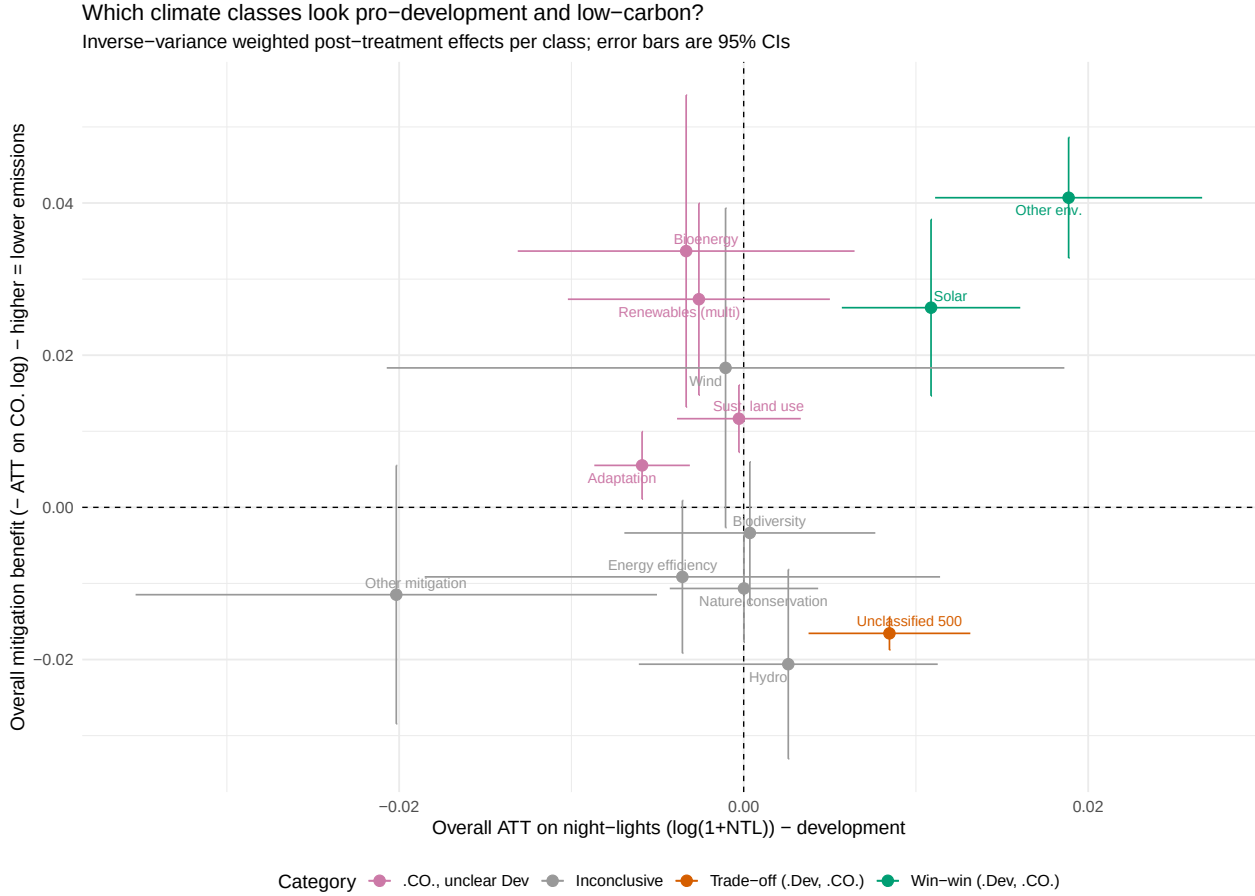


Figure 14: Development vs. GHG trade-offs by climate class. X: overall ATT on night-lights (log1p). Y: -ATT on CO₂ (log). Error bars are 95% CIs.

Conclusion

This study links geocoded aid to ADM2-level CO₂ and shows a clear divergence: climate portfolios yield no effect or modest reductions in emissions, stronger at higher cumulative exposure, whereas non-climate aid increases emissions over the medium run. These dynamics survive placebo timing tests and the exclusion of China, with pre-treatment coefficients close to zero, supporting identification under staggered adoption.

The mechanism is development-driven. Non-climate finance expands local economic activity, as reflected in night-time lights: NTL rises in mid-brightness ADM2 where additional commerce, services, and electrification are most visible; in high-brightness areas, NTL responses become muted or negative due to LED/dimming and land-use substitution toward transport/industrial infrastructure, even as CO₂ rises through daytime/process loads. Thus

“CO₂ up” under non-climate aid is consistent with “development up,” with NTL mapping that expansion where radiance remains informative.

Policy follows directly. Scaling climate portfolios can deliver measurable local decarbonization (particularly where absorptive capacity makes dose–response steep), while greening or retargeting non-climate spending is necessary to avoid offsetting emissions from development-intensive sectors. NTL offers a practical monitoring proxy for development-induced emissions where spectral/land-use biases are accounted for.

Limitations include sectoral heterogeneity masked by averages and potential measurement error in climate tagging. Priority extensions are sector/technology decomposition, explicit spatial spillovers.

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Appendix

Table A1: Top 20 ADM2 by mean CO₂ level (EDGAR-aggregated).

Rank	Country	ADM2 ID	Mean CO2
1	China	CHN.10.9_1	199 632 759
2	China	CHN.24.1_1	141 872 754
3	China	CHN.15.7_1	133 343 969
4	China	CHN.3.1_1	120 020 252
5	South Africa	ZAF.6.3_1	115 805 012
6	China	CHN.15.10_1	113 811 236
7	China	CHN.23.13_1	104 862 150
8	China	CHN.27.1_1	103 411 029
9	China	CHN.10.4_1	99 511 528
10	China	CHN.23.17_1	98 720 889
11	China	CHN.19.7_1	96 086 514
12	China	CHN.15.4_1	87 744 994
13	China	CHN.23.16_1	83 558 272
14	China	CHN.12.16_1	78 899 516
15	China	CHN.28.5_1	76 522 584
16	China	CHN.23.9_1	74 562 077
17	China	CHN.13.12_1	72 518 799
18	China	CHN.18.1_1	72 069 729
19	China	CHN.13.4_1	70 898 769
20	China	CHN.10.8_1	70 602 072

Note:

CO2 levels are ADM2 means over the panel. Units follow the EDGAR source used for aggregation. Countries are matched from ISO3 codes; unmatched codes remain as ISO3.

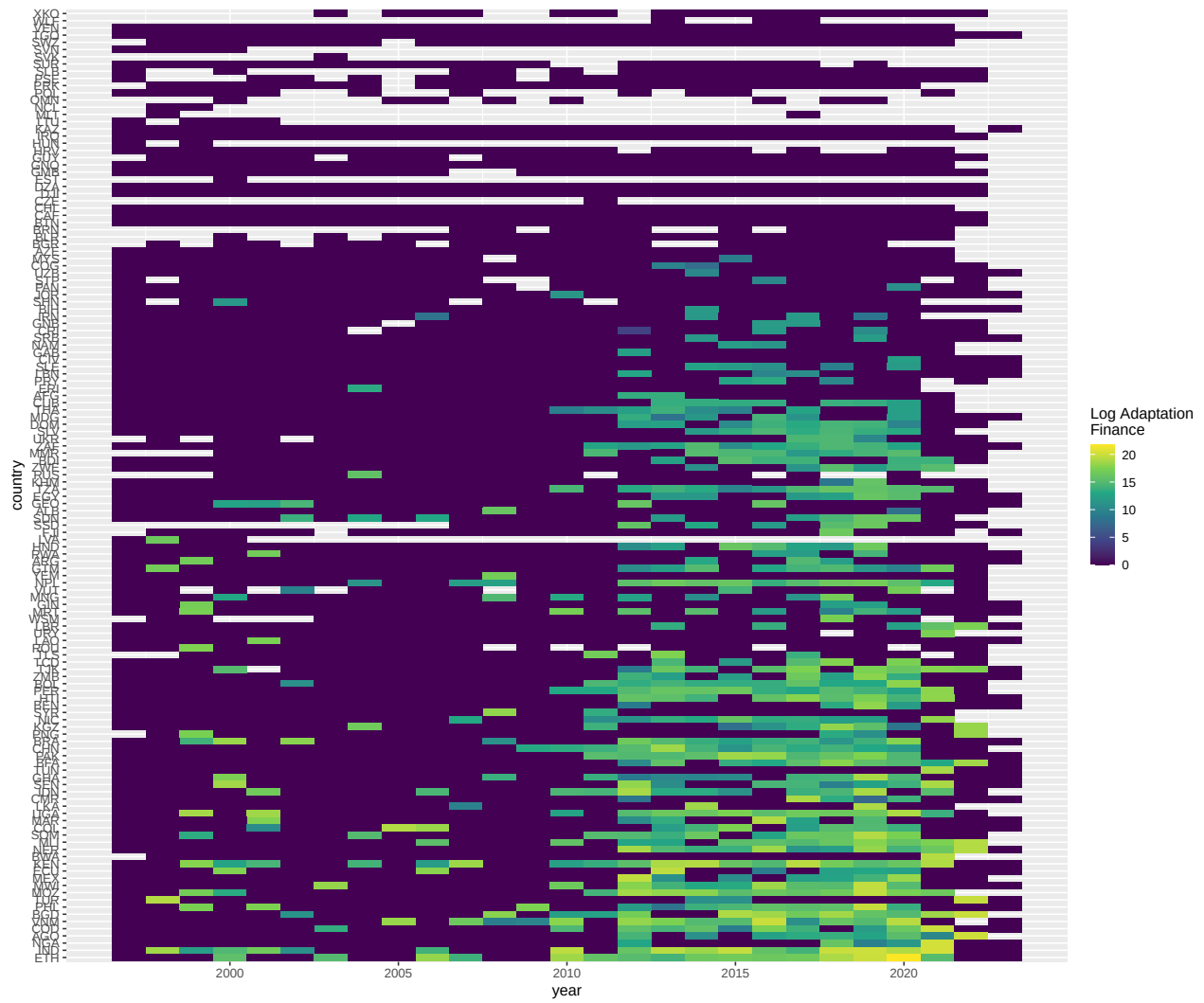
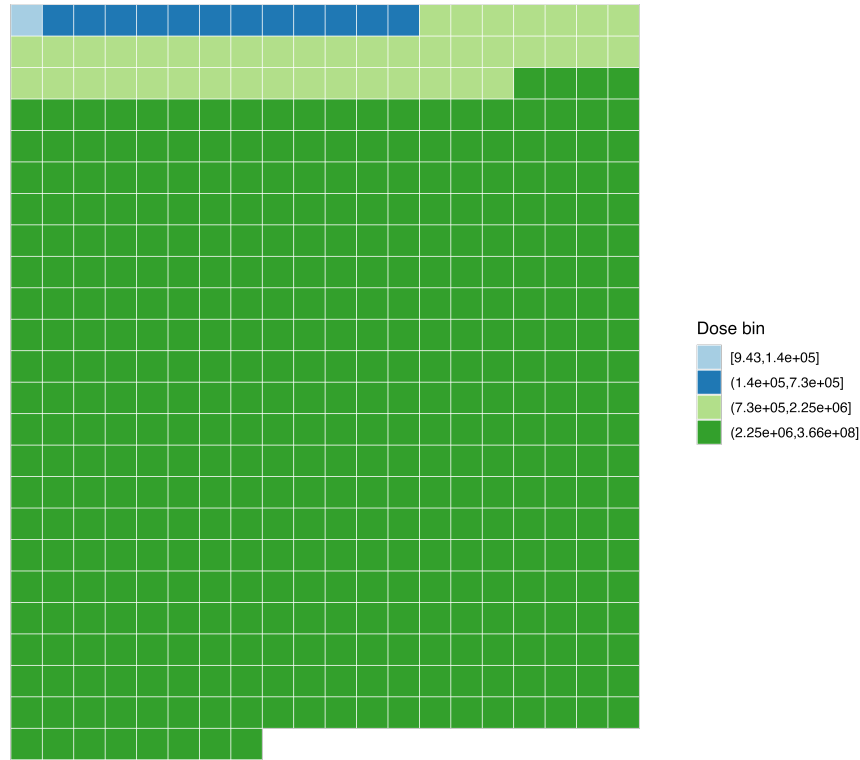


Figure A1: Heatmaps of Adaptation Finance per Country

Share of total adaptation amount by dose bin

Each square represents approximately 10 million USD.
Colors represent bins of post-treatment finance intensity (lower → higher).



Source: GODAD; Author's calculations.

Figure A2: Adaptation bins post treatment intensity repartition

Reproducibility

R version 4.4.1 (2024-06-14)

Platform: aarch64-apple-darwin20

Running under: macOS 26.1

Matrix products: default

BLAS: /Library/Frameworks/R.framework/Versions/4.4-arm64/Resources/lib/libRblas.0.dylib

LAPACK: /Library/Frameworks/R.framework/Versions/4.4-arm64/Resources/lib/libRlapack.dylib

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other attached packages:

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